Agenda

01 **Framework**
Inputs, outputs, and the process for managing customer dynamics

02 **Case workshop**
Hotel and Markstrat examples of changing customer segments

03 **Takeaways**
Core ideas linking AER, HMM, CLV, and choice models

04 **Analytics case**
Preempting and preventing customer churn at TKL

Framework for Managing Customer Dynamics

Inputs

Your customers
Sales, margins, costs, behavior, and needs over time

Past marketing programs
Customer responses linked to actions and cost

Lost customers
Cause of defection and recovery evidence

→

Approaches and analyses

Lifecycle and AER · Dynamic segmentation · Lost customer analysis CLV · HMM · Choice models · Factor, cluster, and classification analyses

→

Outputs

Dynamic segmentation
Personas, value, and migration paths

AER positioning
How to position the firm for each stage

AER strategies
Actions that best fit each persona and stage

Inputs to the Customer Dynamics Framework

- The firm's existing customer portfolio – ideally a firm's CRM system provides detailed customer-level data for the dynamic segmentation analysis
- Data linking past customer responses with specific marketing programs and the programs' cost
- The qualitative and quantitative information gleaned from the lost customer analysis, which reveals the causes of customer defection, where they go, and potentially effective recovery strategies

Outputs of the Customer Dynamics Framework

- A description of the firm's customer personas and expected migrations to understand how they change, including:
  - → Critical life event triggers
  - → The products and services they buy at different points in their lifecycle migration
  - → When they stop buying and why
  - → How they feel at different stages in their lifecycle
  - → The CLV of customers in each persona
- AER Positioning statements – how to best position the firm in each persona/AER stage
- AER strategies – what marketing strategies work best for each persona/AER stage

Process for Managing Customer Dynamics

- To convert CRM, marketing program, and lost customer input data into dynamic segmentation and AER positioning statements and strategies, managers should follow a series of steps:
  - → Dynamic segmentation
  - → Migration Paths and Triggers
  - → Customer Lifetime Value of Segments and Migrations
  - → AER positioning statements
  - → AER strategies

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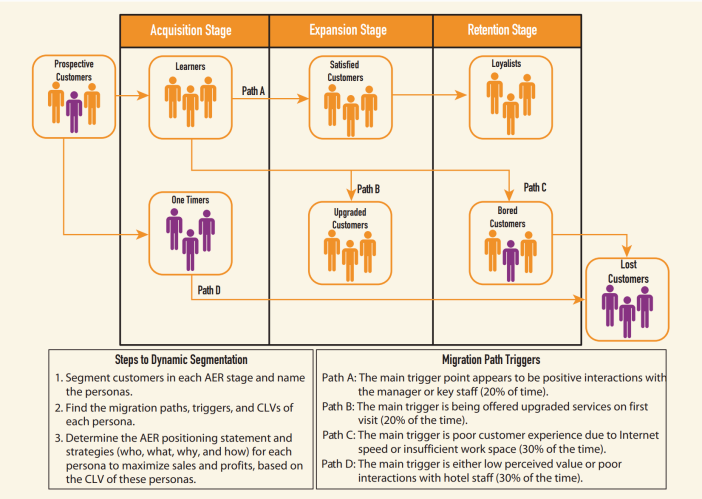
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Case Workshop: Hotel Dynamic Segmentation



Identify personas in each AER stage, trace migration paths, locate triggers, and connect each persona to a positioning statement and strategy.

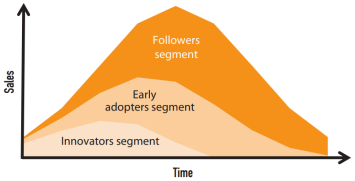
Case Workshop: Markstrat Customer Dynamics

Managing Developed Markets (Sonites) as Customer Segments Change

Segment Descriptions	
High Earners	• High income level • Demand performance and convenience • Purchase expensive products
Professionals	• Personal and professional usage • Look for high-quality, high-performance products • Can afford expensive products
Savers	• Cautious in the way they spend their money • Demand cheap, average convenience products • Future growth rate could exceed forecasts
Shoppers	• Good product knowledge through comparison • Demand high quality–price ratio • Quite price sensitive



Managing Developing Markets (Vodites) as Prototypical Customer Segments Emerge



Customer needs change within established segments while new segments emerge. The team must update products, prices, and targeting before the market moves.

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Takeaways

- The second underlying challenge that firms face when making marketing decisions is that all customers change. This principle can be either an opportunity or a threat, depending on how well the firm understands and manages it.
- Customer dynamics arise from five sources: Individual customers change due to life events and move through typical lifecycles as they age. Customer learning effects occur as customers gain knowledge about a product category. Learning and experience effects also operate at a societal level. Finally, each customer is situated in an environmental context that is constantly changing, filled with outside entities trying to change the customer's perceptions and behaviors. Each source works simultaneously and cumulatively to create customer dynamics.

Takeaways

- Due to rapid technological and communication developments, the speed at which customers change and their expectations about firms' response times have increased.
- There are three approaches to managing customer dynamics: lifecycle, customer dynamic segmentation, and customer lifetime value approaches.
- The lifecycle approach predicts that customers, products, and industries go through similar lifecycles that can be used to inform marketing decisions at different stages. This approach can be problematic though, because it assumes an average rate of change.

Takeaways

- The customer dynamic segmentation approach, with an AER model, predicts that acquisition occurs when customers are just beginning to interact with the firm (customer onboarding). Expansion is when the firm tries to cross-sell or upsell customers and increase engagement, and retention involves keeping customers who might otherwise tend to migrate to competitors.
  - → Hidden Markov models (HMM) can uncover states, reflecting how a large set of customer behaviors changes over time. A state is similar to a consumer segment, describing common behaviors by a group of consumers at some point in their relationship with the firm. Thus, HMM enables dynamic segmentation.
  - → As a powerful diagnostic tool, lost customer analysis can be integrated into a customer dynamic segmentation approach. It often features a mathematical choice model that predicts the likelihood of an observed customer choice or response (e.g., joining, cross-buying, leaving), according to data gathered from the firm's marketing interventions and customer characteristics.

Takeaways

- Customer lifetime value (CLV) seeks to capture the true contribution of each customer, according to the migration path this customer is predicted to follow throughout the relationship with the firm. This approach beneficially provides guidance for making trade-offs and resource allocation decisions among different AEP stages. It also can change a firm's culture, such that the focus is on profits as the sum of each customer's lifetime value, rather than the sum of a product line's profits. The firm then becomes more focused on customers, enabling firms to detect and respond to market changes.
- The framework for managing customer dynamics uses three inputs: CRM, marketing programs, and lost customer data. It produces three outputs: dynamic segmentation and AER positioning statements and strategies.

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Case Workshop: Preempting Customer Churn at TKL

Company and problem

TKL distributes electrical components to construction, industrial, and OEM customers. Market share and sales are falling while churn is rising.

Customer signals

Ratings declined for warranty, sales support, and delivery speed as the fragmented industry matured.

Data

- 1,000 acquired and 1,000 non-acquired customers
- 1,000 retained and 1,000 non-retained customers
- Price, warranty, delivery time, sales support, industry, firm size, and buying-center structure

> Which customers should TKL acquire, expand, or retain, and which benefits should it emphasize?

Case Workshop: TKL Results and Decisions

Acquisition

- Higher prices reduce acquisition probability.
- Longer warranty and stronger sales support increase acquisition.
- Larger construction and industrial firms are more attractive targets.

Expansion and retention

- Expansion is more likely among construction and OEM customers.
- Larger firms and centralized buying centers show higher potential.
- Sales support and delivery speed become central to the value proposition.

Readings

- Dealing with customer dynamics using AER modeling and strategies (regression, CLV, and Bayesian)
  - → ***Getting the Most Out of All Your Customers*** (good overview of tradeoffs between acquisition and retention uses regression)
  - → ***Customer Lifetime Value*** (explains CLV approach and how to use for it for acquisition and retention of cohorts of customers)
  - → ***Know What to Sell, When, and to Whom*** (example of integrated modeling techniques to simultaneously handle customer heterogeneity and dynamics uses Bayesian models)
- ***Marketing Strategy***: Chapter 3